

Instead of withdrawing money from the EPF on switching jobs, one should transfer the balance to the new account with the new employer. This does not happen automatically. You need to fill a 'Form 13' and deposit it with the EPF Office³¹ (EPFO). Nowadays, this transfer of funds can also be initiated online via the EPFO website (<http://uanmembers.epfoservices.in/>). In fact, the process has got extremely streamlined today with the introduction of UAN Number – a unique number for you as a PF contributor, much like a bank account number.

It is recommended that you put this down among the list of priorities at your new workplace. You should take up the matter with the new organization as soon as you join. Many good organizations set this up for you as a part of the on boarding process that they follow. I did this myself when I moved from TCS to IBM in 2006 and I was offered Form 13 as a part of the onboarding pack. That made my job a little easier, but I still needed to fill up the form and send it to the correct destination i.e., the EPFO office. With passage of time you might get busy. Also, if your previous organization has lost the records because of too long a period, you could face a hard time looking for your PF details.

EPF is one of the least thought about investment tools for people in regular jobs. Since the amount gets deducted every month, the amount of money and the cumulative interest that you accumulate can be substantial in this section of your portfolio.

According to the EPF scheme, both the employee and the employer contribute at 12% of the employee's wages, DA and retaining allowance to the fund, every month. This fund gets added to the employee's EPF account and the whole amount is given to him, when he or she requires it, e.g., retirement, medical expenditures, housing costs, family obligations, education of children, paying insurance premiums³² etc.

The rate of interest that you earn on your PF investment is fixed by the Central Government every year in March/April. The rate of interest changes every year, but it is usually higher than the prevailing interest rates.

The employee ends up paying to his EPF every month while the interest rate on his investment is calculated in the month of March/ April every year. The applied interest rate is fixed by the government of India in consultation